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AKASA'S FLIGHT PLAN

As India's newest airline prepares for take-off, here's what its future may hold in the country's intensely competitive aviation market **BY MANISH PANT**

► **WHEN INDIA'S NEWEST** scheduled airline Akasa Air takes to the skies on August 7, it will be launching in the world's fastest expanding aviation market that also faces a clutch of challenges. The low-cost carrier, backed by billionaire investor Rakesh Jhunjhunwala, will thus have to offer a product that is both disruptive and different.

The expectations are high from the carrier. This was evident after tickets for its maiden flight were sold out within hours after bookings opened on July 22. "As professionals, we have spent one and a half years on developing a competitive cost structure from day one," says Founder & CEO Vinay Dube. A quick check reveals that Akasa's ticket prices are lower than its competitors by over 22 per cent on average in the Mumbai-Ahmedabad sector. Similarly, in the Bengaluru-Mumbai sector, its fares are lower by nearly 5 per cent.

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So, to what extent will it be able to shake up the market? "Akasa is flying into an intensely competitive market with razor-thin margins. It is also a market where the top two players, namely IndiGo and the Tata group airlines, command more than 80 per cent market share," says Satyendra Pandey, Managing Partner at aviation advisory AT-TV.

Given Akasa's financing prowess and management team, it is expected to put up a strong fight in sectors where it launches operations. The airline plans to scale up to a fleet of 20 aircraft within 18-20 months of launching commercial operations. AT-TV estimates that Akasa should be able to capture around 4 per cent market share in the next few years. "This will also help them leverage benefits of scale, amortise costs and set up operations to fly internationally. However, success also

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